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Prof. Matthew Elliott mle30@cam.ac.uk
Placement Coordinator Louise Cross JobMarket@econ.cam.ac.uk

EDUCATION

PhD in Economics, *University of Cambridge*, UK *2022-*
Fields: Monetary Economics, Finance, International Economics
Research Visit at EUI hosted by Giancarlo Corsetti (*Spring 2025*)

Mphil in Economic Research, *University of Cambridge*, UK *2021-22*
Graduated with distinction on a full scholarship
Thesis: 'Heterogeneous Impact of Large-Scale Asset Purchasing Programs' (distinction)

B.Sc. in Mathematics and Economics, *London School of Economics*, UK *2017-20*
Graduated with first class honors on a full scholarship. John Ying Wah Gibson Prize (LSE).

REFERENCES

Prof. Elisa Faraglia
Faculty of Economics
University of Cambridge
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Prof. Vasco Carvalho
Faculty of Economics
University of Cambridge
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Prof. Constantine Yannelis
Faculty of Economics
University of Cambridge
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JOB MARKET PAPER

Decomposing the Investment Channel of Monetary Policy with Mathis Momm

European Central Bank's Young Economist Prize 2026
Cambridge Finance Best Student Paper Award 2026

Abstract. Monetary policy surprises conflate interest rate changes with belief revisions about future economic fundamentals. This paper recovers the causal effect of changes in interest rates on corporate investment. We exploit quasi-experimental variation from the ECB's 2016 Corporate Sector Purchase Programme (CSPP), which created persistent cross-sectional differences in firms' financing costs through bond market segmentation. We find that a one-percentage-point decline in firms' borrowing costs increases investment by 19 percent over four quarters. We also find that coinciding belief revisions around monetary policy surprises offset this response by at least 38 percent on average. The gap reflects a sizable firm-level information effect. Our findings have direct implications for the calibration of quantitative macroeconomic models. Existing estimates overstate the role of capital adjustment costs and understate monetary policy's aggregate effect on output by up to 28 percent under a New Keynesian model. More broadly, our findings highlight the first-order role of heterogeneous belief revisions in monetary policy transmission.

WORKING PAPERS

Courts, Costs, and Crises: The Role of Penalties for Sovereign Default Expectations

Runner-up for the Cambridge Finance Best Student Paper award 2024

Abstract. Why do sovereigns repay foreign creditors when external enforcement is weak? This paper shows that direct economic default penalties - not just exclusion from financial markets - are a key determinant of repayment incentives. I exploit quasi-exogenous variation in the cost of default generated by US court rulings in sovereign default litigation. Identification comes from high-frequency responses in third-country sovereign bonds governed by US law whose issuers are not parties to the litigation. I find that a one percentage point increase in the recovery rate lowers the default probability by 19 basis points. I interpret these results in a dynamic model of international borrowing with endogenous default and endogenous debt recovery rates. Calibrated to match the

empirical relationship between recovery and default, the model implies that a one percentage point increase in the cost of default lowers the default probability by 7.9 basis points. I find that higher default penalties can be welfare improving. This offers an explanation for why many emerging markets have been pursuing high-debt-high-default-cost regimes, heightening financial instability under probabilistic tail events.

The Network Origins of Financial Cycles

Abstract. We use proprietary European holdings data to show that common ownership is informative for how shocks transmit between securities. Holder-base overlap predicts cross-sectional variation in abnormal excess yield changes, conditional on a rich set of bond- and bond-pair characteristics. We provide evidence consistent with a causal interpretation by exploiting a major fiscal surprise from Germany in 2025. We show that non-German sovereign bonds with greater pre-existing holder-base overlap with German Bunds experience larger abnormal excess-yield spillovers over a tight event window. Motivated by this, we construct pairwise measures of holder-base overlap and characterize the resulting network of the European sovereign bond market. We then calibrate a common-ownership network to the German event study and find that security-interconnectedness amplifies aggregate volatility from security-specific shocks by roughly 2.5 to 4 times relative to a disconnected market.

WORK IN PROGRESS

Call Me Maybe: Debt Management with Callable Perpetuities with M. Ellison, E. Faraglia and F. Velde

Pushing on a String: The Role of the Information Effect

POLICY WORK

Benchmarking Sustainable Debt Trajectories in Low-Income Countries with A. Abbas, and P. Iossifov, IMF Working Paper Series, 2026

The COVID-19 crisis: what explains cross-country differences in the pandemic's short-term economic impact? with I. Pitterle, UN DESA Working Paper Series (WP174), 2021

SELECTED PRESENTATIONS AND WORKSHOPS

*Does not include internal seminars. * = scheduled*

AY 2026/27 ECB (Seminar), World Bank (Seminar), RAPS/RCFS Europe Conference 2026 (Cambridge), 6th Oxford-NYFed-BoE Monetary Economics Conference (discussant), BoE Job Market Macro Workshop 2026 (London), ASSA 2027* (Washington, DC), 2027 North American Winter Meeting ES* (poster, Washington, DC)
AY 2025/26 Chicago FED (Seminar), IMF (Seminar), ECB Forum on Central Banking 2026 (Sintra), EEA 2026 (Dublin), EEA-ESEM 2026 (Dublin), PSE-CEPR Policy Forum 2026 (Paris), Midwest Macro Spring 2026 Conference (Milwaukee), RIEF Meeting 2026 (Paris), Theories and Methods in Macro 2026 (Montreal).
AY 2024/25 IMF (Seminar), EDGE Conference 2025 (Cambridge), CEPR Paris Symposium 2024 (Poster)
AY 2023/24 96th International Atlantic Economic Conference (Philadelphia, PA)

SELECTED PROFESSIONAL EXPERIENCES

PhD Trainee, European Central Bank	*Jul-Sep 2026*
Research Assistant, Prof. Elisa Faraglia (University of Cambridge)	*2025*
PhD Fund Intern, International Monetary Fund, Debt Policy Division	*Jun-Sep 2024*
Consultant, World Food Program of the United Nations	*2021–26*
Consultant, United Nations Department for Economic and Social Affairs	*2020–21*

TEACHING

Undergraduate Supervisor, University of Cambridge
Macroeconomic Principles and Problems (2nd year undergraduate) *2022/23*

Graduate Teaching Assistant, University of Cambridge
Theory and Practice of Econometrics I (Diploma in Economics) *2022/23*

SCHOLARSHIPS AND AWARDS (*OFFERED)

ECB Young Economist Prize	*2026*
Cambridge Finance Best Student Paper Award	*2026*
Keynes Fund PhD Small Award Scheme	*2026, 2027*
Runner-up for the Cambridge Finance Best Student Paper Award	*2024*
Cambridge Endowment for Research in Finance (CERF) PhD Scholarship	*2023-25*
University of Cambridge Faculty of Economics PhD Studentship	*2022–25**
German Academic Scholarship Foundation Studentship	*2017–27**
Carlo Schmidt Fellowship	*2020-21*
John Ying Wah Gibson Prize	*2019*

SERVICES

Organizer of the inaugural Cambridge Macro and Development PhD conference 2026	*2026*
Cambridge Undergraduate Admissions Interviewer	*2025*
PhD Student Representative, Cambridge Faculty of Economics	*2024*
Mentor the Economics PhD Applicant Mentoring Program (AMP)	*2023, 2024*
Regional Representative of the German Academic Scholarship Foundation's scholars in Cambridge	*2023*

PERSONAL INFORMATION

Languages: German (native), English (native proficiency), French (basic)
Citizenship: German, U.K. Settled Status